

Robustness -- Italy: local vs global content and the euro crisis

Subsample	Months	R2 CF (IS)	R2 GCF (IS)	t(CF_perp)	t(GCF)	R2 CF (OOS)	R2 GCF (OOS)
Full sample	353	0.287	0.074	3.75	2.08	-0.055	-0.022
Pre-crisis (..2007:06)	151	0.453	0.060	5.54	-0.74	--	0.087
Financial crisis (2007-09)	30	0.474	0.015	6.56	-3.11	--	-0.145
Euro crisis (2010-12)	36	0.748	0.272	10.27	-0.37	0.215	-0.036
Post-crisis (2013-)	136	0.177	0.150	2.45	2.61	-0.156	-0.010

Italian local-currency rx_t12 across subsamples. 'R2 CF (IS)' and 'R2 GCF (IS)' are single-factor in-sample fits; t(CF_perp) and t(GCF) are the horse-race HAC t-statistics from $rx \sim CF_perp + GCF$, with CF_perp the part of the Italian cycle factor orthogonal to the global factor (full-sample projection). 'R2 CF/GCF (OOS)' are the recursive Campbell-Thompson R2 scored in the window. The surviving local Italian content of Phase II is concentrated in the 2010-2012 sovereign-debt crisis.